Question:

If the Federal Reserve was concerned about the "crowding-out" effect they could engage in

Answer Choices:

A. expansionary monetary policy by lowering the discount rate.

B. expansionary monetary policy by selling Treasury securities.

C. contractionary monetary policy by raising the discount rate.

D. contractionary monetary policy by lowering the discount rate.

Reasoning + Answer:

<p>The "crowding-out effect" occurs when expansionary fiscal policy (e.g., increased government spending) leads to higher interest rates, which in turn reduces private investment and economic activity. This happens because government borrowing raises demand for loanable funds, driving up interest rates.

To prevent the crowding-out effect, the Federal Reserve would want to counteract the rise in interest rates. The best way to do this is through contractionary monetary policy, which raises interest rates and reduces the money supply. This is achieved by raising the discount rateâĢĶthe rate at which banks can borrow directly from the Fed.

Therefore, if the Fed is concerned about crowding-out, they would use contractionary monetary policy, specifically by raising the discount rate.

Now, evaluating the choices:

A. Expansionary monetary policy by lowering the discount rate âĢĶ this would worsen the crowding-out effect by lowering interest rates, making borrowing cheaper and increasing government borrowing, which intensifies the issue.

B. Expansionary monetary policy by selling Treasury securities âĢĶ selling securities reduces the money supply, which raises interest rates, but this is typically a contractionary policy, and selling securities does not directly address discount rate control.

C. Contractionary monetary policy by raising the discount rate âĢĶ this directly raises interest rates and reduces borrowing, counteracting the crowding-out effect.

D. Contractionary monetary policy by lowering the discount rate âĢĶ this is contradictory. Lowering the discount rate is expansionary.

Correct answer: C. contractionary monetary policy by raising the discount rate.

<reasoning process here>
The crowding-out effect occurs when increased government spending leads to higher interest rates, reducing private investment. To prevent this, the Fed must raise interest rates, which is done through contractionary monetary policy. Raising the discount rate is a tool of contractionary policy. Therefore, the correct answer is C.

<answer>C</answer>